EXECUTIVE SUMMARY

1. Introduction

Tuguegarao City was originally created on May 1604 as a "mission pueblo". No record is available establishing the law creating the Municipality. However, Cagayan's first City was created by Republic Act No. 8755, "An Act converting the Municipality of Tuguegarao, Cagayan Province into a component City to be known as Tuguegarao City." R.A. No. 8755 was approved on November 4, 1999 and ratified on December 18, 1999.

The audit covered the accounts and operations of the City Government of Tuguegarao for the year 2023 and was aimed at determining whether management presented fairly the financial statements of the City in adherence with the generally accepted accounting principles; whether prevailing laws, rules and regulations have been complied with; and funds were utilized in the most efficient, effective and economical manner. Financial and compliance audits were conducted to achieve these audit objectives.

The Audit Team performed post-audit of collections and disbursements and examination of cash and accounts of accountable officers, conducted interviews and walkthroughs, review and analysis of financial statements and related accounting records, reviewed performance of implemented programs and projects and performed other audit procedures as it may deem necessary.

2. Scope and Objectives of Audit

The scope of the audit covers the period ending December 31, 2023.

The objective of the audit is to determine whether the resources of LGU-Tuguegarao City have been managed, expended or utilized in accordance with existing laws, rules and regulations, and safeguarded against loss or wastage through illegal or improper disposition, with a view to ensuring efficiency, economy and effectiveness in the operations of government. The audit also aims to allow the Audit Team to render an opinion on the fairness of the financial statements of the LGU.

3. Financial Highlights

The highlights of the financial condition, results of operation, appropriations, allotments and obligations of the City Government of Tuguegarao for the year ended December 31, 2023, with comparative figures for CY 2022, are as follows:

Accounts	2023	2022	Increase/ (Decrease)
Financial Condition			
Assets	₱4,755,696,722.35	₱4,275,555,339.91	₱480,141,382.44
Liabilities	1,342,001,141.32	1,088,761,507.93	253,239,633.39

Accounts	2023	2022	Increase/ (Decrease)
Government Equity	₱3,413,695,581.03	₱3,186,793,831.98	₱226,901,749.05
Results of Operation			
Income	₱1,328,465,373.08	₱1,455,908,021.29	(₱127,442,648.21)
Expense	1,161,796,111.37	1,145,584,089.50	16,212,021.87
Net Income	₱166,669,261.71	₱310,323,931.79	(₱143,654,670.08)
Appropriations, Allotments and Obligations			
Appropriations – Current	₱1,523,807,140.00	₱1,512,403,770.00	₱11,403,370.00
Allotments – Current	1,523,807,140.00	1,512,403,770.00	11,403,370.00
Allotments – Continuing	781,995,422.34	2,411,081,921.31	(1,629,086,498.97)
Obligations – Current	1,170,902,599.47	1,044,554,592.87	126,348,006.60
Obligations – Continuing	₱273,990,205.92	₱1,044,554,592.87	(₱770,564,386.95)

4. Operational Highlights

The following programs, projects and activities charged under the different sources of funds of the City Government of Tuguegarao were completed in CY 2023:

Project/Program/Activity Name	Location	Total Cost Incurred
Masonry Drainage	Lakandula Street Corner Reyes San Gabriel	₱14,053,539.40
Construction of Tuguegarao City Emergency Clinic	Libag Sur	4.080,281.94
Masonry Drainage	San Jose Village Phase III Road	2,450,341.90
Masonry Drainage Structure	Along Maggay Street, Ugac Sur	1,467,370.73
Masonry Drainage Structure	Along Diciano Street, Cataggaman	1,005,735.00
Masonry Drainage Structure	Along Carig Sur Outlet, Carig	1,168,243.00
Construction of CDRRMO Building	City Hall Compound	35,986,042.60
Solar Powered Irrigation System	Demo Farm, Gosi Norte	1,796,500.00
Repair and Maintenance of TCCC	Bonifacio Street, Centro 07	6,314,471.97
Rehabilitation/Repair of TCCC	Bonifacio Street, Centro 07	1,228,119.10
Rehabilitation of Tuguegarao City Agricultural Training Center	Gosi Norte	1,980,905.47
Upgrading of School Gate	Tug. West Central School	1,082,997.64
Construction of Gymnasium Phase II	Atulayan Elementary School	1,593,527.24
Improvement/Upgrading of Tuguegarao City People's General Hospital	Rizal Street Corner Rizal Street Centro 06	4,285,227.19
Upgrading of Tuguegarao City People's General Hospital	Luna Street Corner Rizal Street, Centro 06	3,226,757.09
Construction of Drainage Structure	Linao East, Tuguegarao City	4,434,517.33
Construction of Multi-Purpose Center	City Hall Compound, Carig Sur	3,955,992.48
Construction of Multi-Purpose Building	Linao East, Tuguegarao City	4,434,517.33
Masonry Drainage Strcuture	Cataggaman National High School	1,107,196.00
Construction of 2 Classrooms,2nd Floor	Namabbalan Integrated School	1,289,562.65
Construction of 3 Classrooms,1 Storey Building	North Central School	5,646,142.09
Construction of 2 Classrooms,2nd Floor	Larion Bajo Elementary	3,796,700.37
Repair of 6 Classrooms in Two Separate Building(3 Classrooms each)	Bagay Integrated School	1,105,705.65
Maintenance of Roads(Asphalt Overlay)	Along Burgos Street	7,636,864.84
Masonry Drainage Structure	Along St. Stephen Road, Ugac Sur	2,717,292.38
Concreting of Road	Dadda Road, Dadda	4,094,402.09
Maintenance of Roads	Washington Street, Centro	4,920,236.17

Project/Program/Activity Name	Location	Total Cost Incurred
Repair of 10 Classrooms	Tug. West Central School	866,039.58
Upgrading of Gymnasium	Capatan Integrated School	1,067,722.63
Rehabilitation of School Gymnasium	Annafunan Integrated School,	2,906,911.16
Rehabilitation of Batang Street	Caggay	14,204,718.25
Road Concreting with Masonry Drainage	Mt. Everest Street, San Gabriel	3,186,755.39
Road Concreting with Masonry Drainage	Banahaw Street, San Gabriel	2,899,572.45
Road Concreting with Masonry Drainage	Apple street, Pengue-Ruyu	2,748,573.50
Concreting of Farm to Market Road	Capatan, Libag Norte, Libag Sur, Gosi Norte and Gosi Sur	4,555,217.17
Road Concreting	Zone 07, Namabbalan Sur	5,421,538.52
Road Concreting	Along CSU-Carig, Carig Sur	4,810,173.95
Construction of Masonry Drainage	Perpetual Village, Ugac Sur	2,041,358.31
Road Concreting	Along Melina Street(PENRO), Carig Sur	3,477,297.42
Masonry Drainage Structure	Along Aries Street, Leonarda	1,418,594.60
Masonry Drainage Structure	Along Zone 4, Larion Bajo	947,462.09
Road Concreting	Macamus Alley, Atulayan Norte	917,186.31
Masonry Drainage Structure	National Highway, Namabbalan Sur and Zone 5, Namabbalan Norte	1,803,856.40
Masonry Drainage Structure	Along Diversion Road	887,004.99
Concreting of Road with Drainage	Cataggaman Nuevo	4,711,173.22
Masonry Drainage Structure	Tramo Road, Atulayan Norte	2,420,607.37
Completionof Central Market phase VII	Central Market, Centro 07	3,849,756.92
Installation of Streetlights	Caritan Sur, San Gabriel, Cataggaman Nuevo and Centro 5	1,003,143.20
Road Concreting	Atulayan Norte	4,872,372.51
Concreting of Road	Demo Farm, Gosi Norte	4,786,712.38
Road Concreting	Along Caggay Road - Chateu	5,886,158.73
Construction of Drainage Structure	Taguinod Street, Linao East	9,999,828.44
Rehabilitation of Science Laboratories	TCSHS	1,123,597.23
Rehabilitation of School Gymnasium	Buntun Elementary School	1,445,583.77
Masonry Drainage Structure	Pagulayan Alley, Ugac Sur	916,705.00
Road Concreting	Larion alto	992,601.31
Masonry Drainage	Turingan St., Leonarda	948,010.37
Road concreting Farm to Market	Libag Norte	918,761.31
Installation of Temporary Perimeter Fence	Sanitary Landfill, Carig	2,494,141.04
Road Concreting, Tuguegarao City	Along Agusan Street, Carig Sur	918,761.31
Masonry Drainage Structure	Along Happy Living Street, Pallua	968,288.75
	Total	**₱ 225,195,093.29**

5. Independent Auditor's Report on the Financial Statements

The Auditor rendered a Qualified Opinion on the presentation of the financial statements of the City Government of Tuguegarao as of December 31, 2023 due to the following:

1. Reconciling items from previous years totaling ₱1.334 million remained unadjusted in the books of accounts of the City contrary to Section 74 of PD No. 1445 and Sections 3.1, 3.2 and 3.3 of COA Circular No. 96-011 dated October 2, 1996; thus, affecting the fair presentation of the Cash in Bank – LCCA amounting to ₱1.073 million in the Statement of Financial Position as of December 31, 2023.

2. Various Property, Plant and Equipment (PPE) with total carrying amount of ₱738.991 million as of December 31, 2023 could not be relied upon due to inaccuracies in the computation of accumulated depreciation, overstating the PPE accounts by ₱110.024 million; thus, affecting the fair presentation of the PPE in the Financial Statements.

3. Thirty seven (37) titled lots in the name of the City with an area of 193,313 square meters were not yet recorded in its books due to the absence of fair market values to serve as basis thereof; thereby, resulting in the understatement of the Land account presented in the financial statements as of December 31, 2023.

6. Summary of Significant Findings and Recommendations

A. Fund transfers to other Government Agencies (Inter-Agency Receivables) totaling ₱14.561 million remained outstanding as of December 31, 2023, which include the amount of ₱0.525 million which has been dormant for more than 18 years, which is not in conformity with Item 5.4 of COA Circular No. 94-013 dated December 13, 1994, Section 111(1) of PD No. 1445 and relevant provisions of COA Circular No. 2023-008 dated August 17, 2023; thus, affecting the fair presentation of the said account in the financial statements of the City.

Moreover, the Other Receivables account totaling ₱4.838 million have been outstanding for 10 years or more and are already considered dormant; thereby, affecting the fair presentation of the said account in the financial statements of the City as of December 31, 2023.

We recommended that the Management, whenever practicable, (a) require the submission of liquidation reports, together with a copy of the journal entry voucher taking up the subject expenditures, from the concerned implementing agencies; and (b) refrain from providing additional financial assistance when the liquidation reports for previous grants were not yet submitted; in faithful adherence to Item 5 of COA Circular No. 94-013 dated December 13, 1994 and Section 111(1) of PD No. 1445.

We further recommended that Management instruct the City Accounting Office to study the applicability of COA Circular No. 2023 – 008 dated August 17, 2023 which prescribes the guidelines and procedures to be observed for the proper disposition of dormant accounts.

B. Cash advances granted to officers and employees totaling ₱1.829 million remained unliquidated at year-end due to the non-enforcement of the settlement or liquidation thereof within the period prescribed under Item 5.8 of COA Circular No. 97-002 dated February 10, 1997; thus, deprived the City of the funds to be used for its socio-economic services to its constituents.

We recommended that Management:

a. Strictly monitor the grant and enforce the settlement and liquidation of cash advances provided to officers and employees in strict compliance to applicable provisions of COA Circular No. 97-002 dated February 10, 1997.

b. When necessary, opt to withhold the salaries of officials and employees who failed to liquidate their cash advances within the prescribed period pursuant to Item 5.1.3 of the same Circular; and

c. Through the City Legal Office, follow through with the issuance of demand letters to the concerned officials and employees or avail of other legal remedies to enforce the settlement or liquidation of cash advances granted.

C. Issued Community Tax Certificates (CTC) totaling ₱28,605.00 and issued Real Property Tax (RPT) Receipts totaling ₱0.143 million were not remitted on time by the collectors to the Liquidating Officer which is not in conformity with Sections 86(G)(1) and 88, Book II of the Local Treasury Operations Manual (LTOM), 2nd Edition; thereby, showing a weakness in the monitoring of Accountable Forms and exposed the collections to the risk of loss and misappropriation.

We recommended that Management ensure that the:

a. Collecting officers remit their collections daily to the liquidating officer in compliance with Section 88(A) of the LTOM, 2nd Edition;

b. Liquidating officer strictly monitor the daily remittance of the collecting officers;

c. AFC strictly update the CRAAF with the individual RAAF of the collecting officers to monitor and readily detect any unremitted collections from accountable forms; and

d. AFC issue additional accountable forms to collecting officers only upon remittance of collections to avoid accumulation of cash in the custody of collecting officers, all in compliance with the rules and regulations concerning receipts of collections.

D. Mandatory deductions withheld from salaries and wages were not immediately remitted to the concerned agencies in the ensuing month and resulted in the accumulated balance of ₱5.625 million as of December 31, 2023, which is contrary to Section 69 of PD No. 1445; thus, exposing the City to the risk of imposition of penalties.

We recommended that the Management, through the City Accounting Office, further analyze the unremitted balances in the total amount of ₱5.625 million in order to come-up with the details/composition thereof as basis in remitting to the concerned agencies in compliance with applicable rules and regulations.

Moreover, we recommended that the Management, through the City Accounting Office, continue exerting earnest efforts to determine the cause of the negative balances in the aforementioned payable accounts and make the necessary adjustments or corrections, whenever necessary.

E. A total amount of ₱1.913 million representing unspent/unused fund transfers from various NGAs for completed projects has not been refunded or returned to their respective source agencies, contrary to Item 6.7 of COA Circular No. 94-013 dated December 13, 1994; thereby, causing its accumulation under the City's Due to NGAs account as of December 31, 2023 and affecting the fair presentation of the financial statements.

We recommended the Management, through the City Accounting Office and City Treasurer's Office to cause the return of the unused balance of the fund transfers from various NGAs in compliance with Item 6.7 of COA Circular 94-013 dated December 13, 1994 and to record proper adjusting entries to facilitate fair presentation of the financial statements.

We further recommended that Management ensure the proper safekeeping of every MOA that the City will undertake in order to provide a proper basis for its monitoring of projects, programs and activities and to monitor compliance to various terms and condition agreed upon by the parties, including those pertaining to unutilized/unspent fund transfers.

F. The continued grant of hazard pay, and subsistence and laundry allowance totaling ₱0.113 million to an official whose place of assignment has been transferred from the Tuguegarao City People's General Hospital runs contrary to Section 20, 21, 22 and 24 of Republic Act (RA) No. 7305, otherwise known as The Magna Carta of Public Health Workers (PHWs).

We recommended that the Management:

a. Cease the grant of hazard pay to officials and employees who are no longer assigned in an establishment specifically mentioned in Section 21 of R.A. No. 7305 and are not principally engaged in the delivery of health or health-related services; and

b. Require the concerned official to refund the hazard pay granted to her from July 2022 to June 2023 amounting to ₱0.113 million.

7. Summary of Total Suspensions, Disallowances and Charges

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions					
Prior Years	₱1,488,358.92	₱0.00	₱1,223,569.78	₱ 264,789.14	82.21%
Current Year	0.00	0.00	0.00	0.00	0.00%
Total	₱1,488,358.92	₱0.00	₱1,223,569.78	₱ 264,789.14	82.21%
Disallowances					
Prior Years	₱5,494,954.15	₱0.00	₱0.00	₱5,494,954.15	0.00%
Current Year	0.00	0.00	0.00	0.00	0.00%
Total	₱5,494,954.15	₱0.00	₱0.00	₱5,494,954.15	0.00%
Charges					
Prior Years	0.00	0.00	0.00	0.00	0.00%
Current Year	0.00	0.00	0.00	0.00	0.00%
Total	0.00	0.00	0.00	0.00	0.00%

Disallowances totaling ₱4,620,330.30 are on appeal with the Commission on Audit.

8. Status of Implementation of Prior Years' Unimplemented Audit Recommendations

The status of implementation of prior years' audit recommendations embodied in the 2022 Annual Audit Report are summarized as follows:

Implemented	47
Not implemented	13
Not implemented and reiterated in CY 2023 AAR	11
Total	71